

Document 6: S6 — Volume & Delivery Analysis (Institutional Fingerprint) (Max Score: 15)

This is your **highest-weight core module**. It's designed to answer one question:  "Is this move backed by institutions (real participation) or just retail noise?"

1) Overview

- **Code:** S6
- **Tier:** 2 (Core Rule)
- **Role:** Detect institutional participation using Volume + Delivery + ROC + Trade microstructure (Avg trade size + trade count divergence)
- **Max Score:** 15
- **Status:**  Approved
- **Precedence:**
 - Runs after S2/S4/S5 context is known (zone + sweep + structure)
 - Acts as a conviction amplifier and also a trap detector

2) Mandatory Pre-Filter (Rule 0): Block/Bulk Deal Handling (Mandatory)

✅ Rule 0A — Mandatory Pre-Filter

- If today's volume is dominated by **reported block/bulk deal volumes**, you **must pre-filter** the data so you don't misclassify *artificial* volume spikes as institutional intent.

✅ Rule 0B — Practical stance (as you said)

- **Most of the time**, block/bulk deals are just "exchange of hands" and can **distort** conclusions.
- So the framework treats them as **non-directional** unless they are confirmed by the *other 5 components*.

Outcome of pre-filtering:

- S6 uses **Adjusted Volume** for comparisons:
 - $\text{AdjVol} = \text{TotalVol} - \text{BlockDealVol} - \text{BulkDealVol}$ (where data available)

If block/bulk data is not reliably available for a day, S6 still works, but the signal quality is marked "lower confidence".

3) S6 Scoring Structure (Total = 15)

S6 has 5 components:

1. C1 — Volume vs Multi-TF Averages (Max 3)
 2. C2 — Delivery % Confirmation (Max 3)
 3. C3 — Volume Pattern Classification (Max 2)
 4. C4 — ROC Analysis (Vol ROC + Del ROC) (Max 3)
 5. C5 — Institutional Fingerprint (Trade Microstructure) (Max 4)
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C1) Volume vs Multi-Timeframe Averages (Max: 3)

Purpose

To determine whether today's activity is **unusual vs normal**, and in which horizon.

Rule: Compare AdjVol (or TotalVol if not filtered) against:

- 1 Week Avg
- 1 Month Avg
- 3 Month Avg
- 6 Month Avg

✓ Approved constraint: **Use max 3 comparisons** (to avoid overcounting)

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Scoring (Max 3)

Allocate up to **3 points** based on how many horizons are *meaningfully exceeded*:

- +1 if AdjVol > **1W avg** by a meaningful margin
- +1 if AdjVol > **1M avg** by a meaningful margin
- +1 if AdjVol > **3M or 6M avg** by a meaningful margin

Practical grading logic

- If it beats **only 1W avg** → often just short-term noise
- If it beats **1M + 3M/6M** → suggests **real institutional participation**

C2) Delivery % Confirmation (Max: 3)

Purpose

Delivery is key in India: it differentiates **real accumulation** from churn/speculation.

Scoring (Max 3)

Use up to 3 points with "stronger = more points":

- +1 if Delivery% > recent average (1M baseline is best)
- +1 if DeliveryQty increases meaningfully vs 1W/1M
- +1 if Delivery% rise is aligned with a bullish/bearish candle direction (contextual)

✓ Key idea:

- **Volume without delivery** = often intraday churn
 - **Volume + delivery rising** = more likely accumulation/distribution
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C3) Volume Pattern Classification (Max: 2)

Purpose

Classify the *type* of volume event so you don't mistake climax/exit for accumulation.

✓ Approved patterns (max 2 points total, max 2 patterns):

1. **Dry-up** (low volume contraction)
2. **Climax** (blow-off / exhaustion)
3. **Pullback volume behavior** (healthy vs unhealthy)

Scoring (Max 2)

- **Dry-up near demand / before breakout** → +2 (strong constructive)
- **Healthy pullback** (pullback on low volume after expansion) → +1
- **Climax** (sudden extreme volume after extended move) → 0 or negative bias (usually marks exhaustion)

This component is where S6 avoids traps: a climax candle can look "institutional" but actually be "distribution/exhaustion".

C4) ROC Analysis — Volume ROC + Delivery ROC (Max: 3)

Purpose

Measure whether momentum is **accelerating** in the *right participation metrics*.

✓ Approved rule: **Delivery ROC is weighted higher than Volume ROC**

What you calculate

- $VolROC = ROC(AdjVol \text{ or } Vol)$
- $DelROC = ROC(DeliveryQty \text{ or } Delivery\%)$

Scoring (Max 3)

- +1 if VolROC is **positive** and **rising**
- +2 if DelROC is **positive** and **rising** (heavier weight)

Interpretation

- VolROC ↑ but DelROC ↓ → “hype / churn risk”
- VolROC ↑ and DelROC ↑ → “real money participation”
- DelROC ↑ even when VolROC flat → stealth accumulation (often strong)

C5) Institutional Fingerprint (Trade Microstructure) (Max: 4)

This is *your signature* institutional detection logic.

It uses:

- Avg Trade Size (ATS) (a proxy for big players)
- Trade Count Divergence (volume vs number of trades)
- Traded Value confirmation

C5A) Avg Trade Size vs 1M Average (Max: 2)

- +2 if ATS today is meaningfully above 1M ATS average
- +1 if slightly above
- 0 if normal/low

✓ Logic:

- Institutions execute in larger size; ATS jumps are a strong clue.
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C5B) Trade Count Divergence Logic (Max: 2)

This is your approved "big player signature":

✓ If: Vol ↑, Delivery ↑, Value ↑, but Trades ↓

→ it suggests **fewer but bigger trades** → **institutional activity**

Scoring

- +2 if this signature is clean and strong
- +1 if partial (e.g., trades flat, but ATS jumps)
- 0 if trades rise along with volume (often retail crowd participation)

This is how you separate:

- **Retail frenzy** = many trades + high volume
- **Institutional accumulation** = fewer trades + higher value + higher delivery

4) S6 Total Scoring Summary (Max 15)

     Plain Text

1	C1 Volume vs Avg (multi-TF)	max 3
2	C2 Delivery % confirmation	max 3
3	C3 Volume pattern classification	max 2
4	C4 ROC analysis (Del ROC > Vol ROC)	max 3
5	C5 Institutional fingerprint	max 4
6	-----	
7	TOTAL S6 SCORE	max 15

5) Final Interpretation Tiers (Approved)

- 13-15: 🐳 Whale Confirmed
- 10-12: 🦁 Strong Institutional
- 7-9: ✅ Moderate Institutional
- 4-6: ⚠️ Weak / Retail-biased
- 0-3: 🕳️ Hollow Move
- Negative: 🚫 Trap / Distribution Risk

6) Precedence & Interactions (How S6 is USED)

✓ With S2 (OB zones)

- S6 confirmation at/near OB touch makes the OB "alive".

✓ With S4 (Sweep)

- Sweep + rising delivery is powerful (stop-hunt + accumulation).

✓ With S5 (Structure)

- If S5 is weak (1–3), strong S6 can increase confidence but **cannot override S5=0 hard block**.

✓ With S3 (FVG)

- FVG entry is "precision"; S6 tells whether the move behind it is **real**.
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7) "Trap Detection" Rules (Practical)

S6 often protects you from these:

Trap A: Volume spike but delivery weak

- Vol ↑ but Del% ↓ or DelQty flat
→ likely intraday churn

Trap B: Climax volume after extended upmove

- Vol extreme + wick + reversal context
→ distribution risk

Trap C: Trade count surges

- Vol ↑, Trades ↑, ATS ↓
→ retail crowd participation (less reliable)